
Master Service Agreement

between

GlobalTrade Logistics Inc.

and

Pacific Crest Carriers Pte. Ltd.

Agreement No. PCC-MSA-2024-208

Effective Date: February 12, 2024

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1. Parties

This Master Service Agreement (the "Agreement") is entered into as of February 12, 2024 (the "Effective Date") by and between **GlobalTrade Logistics Inc.**, a Delaware corporation with its principal place of business at 400 Harborview Plaza, Suite 1200, Wilmington, Delaware, USA ("GlobalTrade", the "Shipper"), and **Pacific Crest Carriers Pte. Ltd.**, a private limited company incorporated in Singapore, with its principal place of business at 71 Keppel Harbour Road, Singapore 098419 ("Pacific Crest", the "Carrier"). GlobalTrade and Pacific Crest are each a "Party" and together the "Parties". This Agreement supersedes all prior agreements, proposals, term sheets, and letters of intent between the Parties relating to its subject matter.

2. Definitions

For the purposes of this Agreement, the following capitalized terms have the meanings set out below. Other capitalized terms are defined where they first appear.

1. **"Business Day"** means any day other than a Saturday, Sunday, or public holiday in the jurisdiction of the delivery destination.
2. **"Scheduled Delivery Date"** means for each shipment, the delivery date promised at tender per its shipping mode: four (4) days after tender for Second Class shipments and six (6) days after tender for Standard Class shipments.
3. **"Late Delivery"** means any shipment delivered after its Scheduled Delivery Date, measured in Late Calendar Days.
4. **"On-Time Delivery Rate"** means, for any calendar quarter, the number of shipments delivered on or before their Scheduled Delivery Date divided by the total number of shipments tendered in that period, expressed as a percentage and rounded to one decimal place.
5. **"Freight Charges"** means the transportation charges invoiced by Pacific Crest for a shipment, excluding customs duties, taxes, and disbursements; service credits under Section 6 are computed on Freight Charges, not on the commercial value of the goods.
6. **"Service Levels"** means the performance commitments set out in Section 5 of this Agreement.
7. **"Confidential Information"** means all non-public business, technical, pricing, volume, and operational information disclosed by one Party to the other, whether marked confidential or not, that a reasonable person would understand to be confidential.
8. **"Late Calendar Day"** means each calendar day, or part thereof, elapsed after the Scheduled Delivery Date until actual delivery.
9. **"Service Credit"** means a credit issued by Pacific Crest against future invoices pursuant to Section 6.

3. Scope of Services

Pacific Crest shall provide regional transportation services for GlobalTrade's **Pacific Asia** market, comprising intra-Asia air and sea freight, trans-Pacific ocean services, and final-mile distribution in Southeast Asia, Eastern Asia, South Asia, and Oceania, primarily for Second Class and Standard Class shipments. Second Class shipments carry a Scheduled Delivery Date of four (4) days from tender and Standard Class shipments six (6) days from tender. Pacific Crest shall operate consolidation hubs in Singapore and Shanghai for GlobalTrade volume, provide DDP and DAP customs handling per shipment instructions, and maintain EDI integration for milestone events. Pacific Crest is GlobalTrade's preferred regional carrier for the Pacific Asia market; lanes may be added or removed by amendment to Schedule A.

4. Term

This Agreement commences on the Effective Date and continues for an initial term of two (2) years (the "Initial Term"). Upon expiry of the Initial Term, this Agreement automatically renews for successive one (1)-year renewal periods (each a "Renewal Term") unless either Party gives written notice of non-renewal at least sixty (60) days before the end of the then-current term. Rates and Service Levels remain fixed during the Initial Term; thereafter, either Party may request one rate review per Renewal Term, provided that any adjustment exceeding 5% per annum requires mutual written agreement supported by a documented cost index. Sections 2, 6 (with respect to accrued penalties and credits), 8, 11, and the confidentiality obligations survive expiry or termination of this Agreement for a period of three (3) years.

5. Service Levels

5.1 Service Level Framework

Pacific Crest's performance is measured against the commitments in this Section 5 on a **calendar-quarter** basis, in recognition of the longer transit cycles and monsoon-season variability of the region's lanes. Measurement uses Pacific Crest's milestone EDI events validated against terminal operator records.

5.2 On-Time Delivery Commitment

Pacific Crest commits to an On-Time Delivery Rate of at least **94.0%** of all shipments tendered in each calendar quarter, measured across all Pacific Asia lanes in aggregate. Shipments affected by Force Majeure Events, port congestion declared by the relevant port authority, or customs inspection holds not attributable to Pacific Crest documentation errors are excluded from measurement, provided Pacific Crest evidences the exclusion in the quarterly scorecard.

5.3 Measurement & Reporting

Pacific Crest shall deliver a quarterly performance scorecard within ten (10) Business Days of quarter end, broken down by lane and by origin country, listing every Late Delivery with its delay in calendar days and the service credits accrued under Section 6. Monthly flash reports (summary On-Time Delivery Rate only) are due by the fifth (5th) Business Day of each month. GlobalTrade may dispute scorecard entries within fifteen (15) Business Days.

6. Late Delivery Penalties (Service Credits)

6.1 Service Credit Structure

The Parties adopt a service-credit remedy rather than cash penalties. For each Late Delivery, Pacific Crest shall issue GlobalTrade a service credit equal to **1.5% of that shipment's invoiced freight charges for each Late Calendar Day**, beginning on the first calendar day after the Scheduled Delivery Date. For clarity, the credit base is the freight charges invoiced by Pacific Crest for the shipment, not the commercial value of the goods.

6.2 Credit Cap

Service credits for any single shipment are capped at **10% of that shipment's invoiced freight charges**.

6.3 Application of Credits

Accrued credits are itemized in the quarterly scorecard and applied against Pacific Crest's next monthly invoice following scorecard finalization. Credits are not redeemable for cash, do not expire while the Agreement remains in force, and any unapplied balance is payable in cash only upon termination or expiry of this Agreement.

6.4 Worked Example

A Second Class shipment with invoiced freight charges of \$2,000 is delivered four (4) calendar days after its Scheduled Delivery Date: the credit is $4 \times 1.5\% = 6\%$ of \$2,000 = **\$120**. A delay of ten (10) calendar days would compute to 15% but is capped at 10%, i.e. **\$200**.

6.5 Exclusive Remedy

Service credits under this Section 6 are GlobalTrade's sole and exclusive financial remedy for Late Delivery as such, without prejudice to GlobalTrade's termination rights under Section 10 and claims for loss of or damage to cargo.

7. Invoicing & Payment

Pacific Crest shall invoice GlobalTrade monthly in arrears, in US dollars, with separate invoice lines per shipment showing freight charges, fuel and security surcharges, and customs disbursements with supporting receipts. Undisputed invoices are payable **net sixty (60) days** from the invoice date. GlobalTrade must raise invoice disputes within fifteen (15) Business Days of receipt. No interest accrues on late payments; however, Pacific Crest may suspend acceptance of new tenders if undisputed amounts remain unpaid **seventy-five (75) days** past due, after giving ten (10) Business Days' written warning. Customs duties and taxes advanced by Pacific Crest on GlobalTrade's behalf are re-invoiced at cost plus a 1.0% disbursement fee and are payable net thirty (30) days.

8. Liability & Indemnification

Pacific Crest's aggregate liability under this Agreement, whether arising in contract, tort (including negligence), breach of statutory duty, or otherwise, shall not exceed an amount equal to six (6) times Pacific Crest's average monthly charges to GlobalTrade over the six (6) months preceding the event giving rise to liability. The foregoing cap does not apply to: (a) liability arising from gross negligence, willful misconduct, or fraud; (b) Pacific Crest's indemnification obligations in respect of third-party claims for bodily injury, death, or damage to tangible property; (c) breaches of confidentiality; or (d) loss of or damage to cargo, which is governed by the Hague-Visby Rules for sea carriage, the Montreal Convention for air carriage, or other mandatorily applicable transport conventions. Service credits under Section 6 are GlobalTrade's exclusive financial remedy for Late Delivery as such, but do not limit remedies for chronic failure under Section 10(e) or claims for loss of or damage to cargo. Neither Party is liable to the other for indirect, consequential, special, or punitive damages, or for loss of profit, revenue, or goodwill, except to the extent such damages fall within the carve-outs above. Pacific Crest shall maintain, at its own cost, commercial general liability insurance of at least \$3,000,000 per occurrence, marine cargo legal liability cover of at least \$1,000,000 per vessel or aircraft, and statutory employer liability cover, and shall provide certificates of insurance to GlobalTrade upon request and at each renewal.

9. Force Majeure

Neither Party is liable for any failure or delay in performance caused by events beyond its reasonable control, including natural disasters, severe weather, epidemics, war, terrorism, civil unrest, acts of government, embargoes, port or airport closures, customs stoppages not attributable to documentation errors by the affected Party, national or industry-wide strikes (expressly excluding strikes limited to Pacific Crest's own workforce), and widespread failures of public infrastructure, utilities, or telecommunications (each a "Force Majeure Event"). The affected Party must notify the other Party in writing within ten (10) calendar days of becoming aware of a Force Majeure Event, describing the event, the performance affected, and the estimated duration, and must use commercially reasonable efforts to mitigate its impact and resume performance. Service Level measurement under Section 5 is suspended for shipments demonstrably affected by the Force Majeure Event, and no penalties or credits under Section 6 accrue with respect to such shipments. If a Force Majeure Event continues for more than sixty (60) consecutive days, either Party may terminate this Agreement upon written notice without penalty, and the Shipper shall pay only for services performed and conforming goods delivered up to the effective date of termination.

10. Termination

Either Party may terminate this Agreement: (a) for material breach by the other Party that remains uncured twenty-one (21) days after written notice describing the breach in reasonable detail; (b) immediately upon written notice if the other Party becomes insolvent, files or has filed against it a petition in bankruptcy that is not dismissed within sixty (60) days, or makes a general assignment for the benefit of creditors; or (c) as provided in Section 9. GlobalTrade may additionally terminate this Agreement: (d) for convenience on sixty (60) days' written notice; and (e) for chronic Service Level failure, defined as a quarterly On-Time Delivery Rate below 94.0% in any two (2) quarters within four (4) consecutive calendar quarters, on thirty (30) days' written notice without any further cure period. Upon any termination or expiry, Pacific Crest shall complete all shipments in transit or accepted prior to the effective date of termination in accordance with this Agreement, shall return or destroy all Confidential Information of GlobalTrade, and shall cooperate in good faith in an orderly transition to a successor provider for up to sixty (60) days at the rates then in effect. Termination does not relieve either Party of obligations accrued before the effective date of termination, including penalties and service credits accrued under Section 6.

11. Governing Law & Dispute Resolution

This Agreement is governed by and construed in accordance with the laws of Singapore, without regard to its conflict-of-laws principles. Any dispute arising out of or in connection with this Agreement shall be referred to and finally resolved by arbitration administered by the Singapore International Arbitration Centre (SIAC) in accordance with its rules, seated in Singapore, before a single arbitrator, in the English language. Before initiating any proceeding, the Parties shall escalate the dispute first to their respective account managers and, failing resolution within fifteen (15) Business Days, to a senior executive of each Party; only if the dispute remains unresolved thirty (30) days after escalation to executives may a proceeding be initiated. Nothing in this Section prevents either Party from seeking interim injunctive relief to protect its Confidential Information or intellectual property.

12. Miscellaneous

This Agreement, together with its Schedules and any executed amendments, constitutes the entire agreement between the Parties with respect to its subject matter. Amendments must be in writing and signed by authorized representatives of both Parties. Neither Party may assign this Agreement without the other Party's prior written consent, except to an affiliate or in connection with a merger, acquisition, or sale of substantially all of its assets, with written notice to the other Party. Pacific Crest shall not subcontract ocean or air linehaul to carriers outside its approved partner list in Schedule E without GlobalTrade's prior written approval, and remains fully liable for the acts and omissions of any approved subcontractor as if they were its own. All notices must be in writing and delivered to the addresses stated in Section 1 by courier or by email with delivery confirmation. If any provision of this Agreement is held invalid or unenforceable, the remaining provisions remain in full force and effect. No waiver of any provision is effective unless made in writing; the failure of either Party to enforce any provision is not a waiver of its right to do so later.